



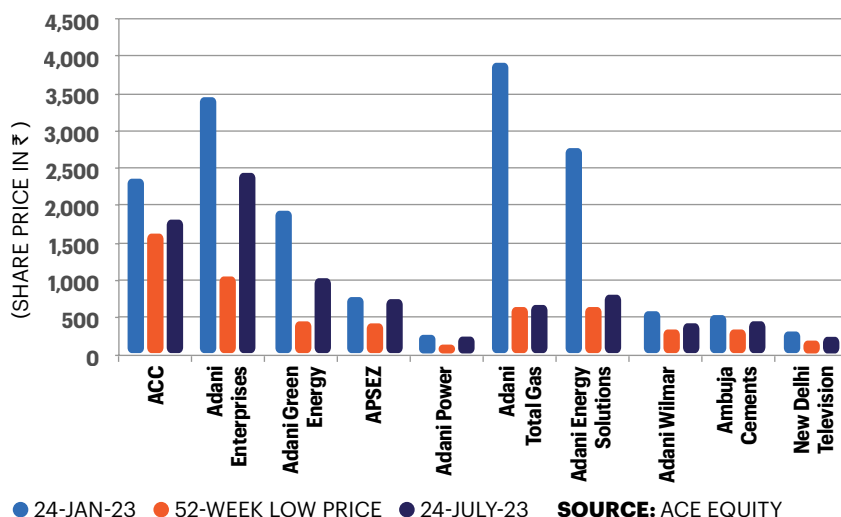
“The firm’s equity will be recycled, as cash flow from each year serves as equity contribution for the next project. So, ROE is expected to keep expanding”

VINIT BOLINJKAR

HEAD OF RESEARCH,
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IN RECOVERY MODE

Share prices of Adani firms have risen after the Hindenburg lows



SOURCE: ACE EQUITY

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Bolinjkar, Head of Research at Ventura Securities.

Then there are potential challenges, such as if a distribution company (discom) defaults on payments. While renewable energy is the future, the thermal power business (called Adani Power Ltd or APL) is raking in profits and has made its first transnational foray by supplying power to Bangladesh. It will supply 1,496 MW of power for 25 years. APL, with an operational capacity of 14,450 MW, is aiming for 16,850 MW by June 2027.

From B2B to B2C

The Adani Group is focussing on consumer-centric businesses for growth, whether it is airports, energy and gas distribution, real estate, or FMCG. Many of these are extensions of B2B businesses—for instance, the entire power chain. It has expanded from power generation to transmission to distribution.

Adani Transmission Ltd (ATL)—renamed Adani Energy Solutions recently—has lined up equity fund raise of \$1.03 billion, and has planned a capex of ₹4,500-5,000 crore in the next couple of years. It sits on a transmission network of over 15,000 circuit km (ckm), with 4,400 ckm under construction. The mandatory escrow account requirement for discoms makes it a safe business. “The money

collected from consumers (B2C) by discoms is compulsorily transferred to this escrow account for paying the transmission players,” says Bolinjkar. A part of the capex will also go into the power distribution business, catering to over 12 million consumers in Mumbai and Mundra SEZ. The government is also amending the Electricity Act, which will allow for multiple distribution companies in the same geography. “The most efficient business should win. It’s the survival of the fittest, and the consumer benefits in the end with cheaper electricity and better service,” says Jain. ATL’s focus is on reducing power costs and switching from thermal to green energy. “The implementation of smart meters is expected to contribute positively to its margins,” adds Bolinjkar.

“Ultimately, distribution and metering will be a bigger part of the energy solutions business by 2028,” says Singh. Hence the renaming.

In the city gas distribution business of piped natural gas (PNG) and compressed natural gas (CNG), Adani Total Gas Ltd’s (ATGL) focus is on building pipeline networks in newer geographies. It currently has 460 CNG stations, 704,000 PNG homes, and 7,435 industrial and commercial connections. “Our company is going to build over 1,800 CNG stations in the next seven to 10 years,”